



Pride Dealer Services

National Detail & Condition Reports Company

Executive Summary

Investment Opportunity

\$100,000

INVESTMENT AMOUNT

5%

EQUITY OWNERSHIP

\$2,000,000

POST-MONEY VALUATION

\$3.86M

2025 REVENUE
(GENERAL LEDGER)

51.3%

2026 GROSS
MARGIN (JAN-AUG)

\$399.1K

2025 NORMALIZED
CASH FLOW

1.59×

DSCR FLOOR ON
\$1.5M SBA FACILITY

The Story in Five Lines

Repositioned, Not Shrinking

Gross margin 25.5% → 37.2% → 51.3%

Durable Enterprise Anchors

Manheim (Cox) + Dent Wizard, multi-site recurring

Debt-Free Balance Sheet

No liabilities on the books — all fifteen accounts nil

Expansion Is Funded by Debt

\$1.5M SBA 7(a) in process — non-dilutive

Equity Buys the Upside

5% of a business scaling on borrowed capital

Every figure in this deck comes from the Company's live QuickBooks general ledger (last synced September 12, 2026); 2026 covers January 1 – August 31. Where the federal returns differ, the differences are identified on the Financial Performance slide.

Business Overview

What We Do

Pride Dealer Services provides vehicle reconditioning, condition reporting, detailing, and photography to the wholesale automotive-auction industry — delivered on-site under recurring, per-unit service relationships. The Company has operated continuously since 2020.

COMPANY PROFILE	DETAIL
Legal entity	Florida LLC, taxed as an S-corporation (Form 1120-S)
Formed	July 23, 2020
Business activity (NAICS)	811490 — vehicle reconditioning & auction services
Ownership	Nelson Cajas — 100% (sole owner since the 2025 transition)
Principal place of business	500 E Las Olas Blvd, Fort Lauderdale, FL 33301

Our Services

- **Condition Reports:** Comprehensive on-site vehicle inspection and documentation
- **Vehicle Detail Services:** Professional cleaning and reconditioning
- **Digital Documentation:** Photography and report generation for resale

Enterprise Anchors

Manheim / Cox Automotive

2025 Revenue (all locations)	\$1,530,534
2026 YTD (Jan–Aug)	\$552,389
Flagship Site	Manheim Dallas — \$703,460 in 2025
Status	Qualified for Manheim Supplier Diversity Program

Dent Wizard International

2025 Revenue (all locations)	\$926,260
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2026 YTD (Jan–Aug)	\$329,542
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Growth Opportunity	Detail + dent repair + CR bundled services
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Financial Performance

Income Statement — QuickBooks General Ledger

ITEM	2024	2025	2026 (JAN–AUG)
Revenue	\$5,464,666	\$3,859,075	\$884,836
Cost of goods sold	\$4,045,196	\$2,424,644	\$431,169
Gross profit	\$1,419,470	\$1,434,431	\$453,667
Gross margin	26.0%	37.2%	51.3%
Operating expenses	\$914,690	\$1,231,092	\$204,138
Net income	\$504,779	\$203,339	\$249,529

All three columns come from the live QuickBooks general ledger on one consistent books basis (2026 covers January 1 – August 31, eight complete months). For reference, the federal returns report 2024 revenue of \$5,418,432 with \$623,923 of ordinary business income and 2025 revenue of \$3,858,771 with \$150,000 — the differences are return-versus-books adjustments, principally officer compensation (\$200,000 and \$75,000) and book-tax timing. The general ledger governs throughout this deck.

\$1,327,254

2026 REVENUE
ANNUALIZED (8
MONTHS)

28.2%

2026 NET MARGIN

\$374,293

2026 NET INCOME
ANNUALIZED

\$249,529

NET INCOME
BOOKED THROUGH
AUGUST

Balance Sheet — QuickBooks, Current

ASSETS	AMOUNT	LIABILITIES & EQUITY	AMOUNT
Cash — operating accounts	\$65,669	Accounts payable	\$0
Accounts receivable	\$101,071	Credit card (Divvy)	\$0
Machinery & equipment	\$667	Notes payable — all accounts †	\$0
Intangible — goodwill (net)	\$3,084,650	Net book equity	\$3,252,056
Total assets	\$3,252,056	Total liabilities & equity	\$3,252,056

\$0

TOTAL LIABILITIES
ON THE BOOKS

\$166,739

CASH +
RECEIVABLES, NO
CURRENT
LIABILITIES

94.9%

GOODWILL AS A
SHARE OF ASSETS

\$167,407

TANGIBLE ASSETS

Balances per QuickBooks as of September 2026. † **The Company carries no debt on its books.** All fifteen liability accounts — accounts payable, the Divvy credit card, the owner loan, the EIDL and PPP notes, and the \$3,000,000 Patrick Mulligan note payable — carry a nil balance; the Mulligan account shows \$3,000,000 posted and \$3,000,000 removed across its life. The draft 2025 Schedule L still reports a \$2,821,500 convertible note, so the return and the books do not yet agree on this item; the executed assumption / novation document is what reconciles them, and it remains the first thing a lender or investor should ask to see. **Goodwill (\$3,084,650)** arose from the 2025 buyout of the former co-owner — a non-cash intangible amortized over 15 years (\$197), carrying no cash obligation. The owner's capital account stands at \$(1,730,388) cumulative, reflecting net draws taken over the life of the business.

Revenue Transition & Margin Bridge

The 2025 revenue decline was a deliberate repositioning during the ownership transition, not a loss of the core business. As the Company consolidated under single ownership, it wound down lower-margin, high-churn accounts and retained its durable enterprise relationships. **The shed revenue was the least profitable: gross profit dollars rose even as the top line fell.**

METRIC	2024	2025	2026 (JAN–AUG)
Revenue	\$5,464,666	\$3,859,075	\$884,836
Gross profit	\$1,419,470	\$1,434,431	\$453,667
Gross margin	26.0%	37.2%	51.3%

All three columns are taken from the QuickBooks general ledger on a consistent books basis, so they are directly comparable. On the tax-return basis the 2024 and 2025 margins are 25.5% and 37.2%. 2026 covers January 1 – August 31.

Retained — The Anchors

The Manheim / Cox Automotive network and Dent Wizard International: recurring, per-unit enterprise work that is the Company's most profitable revenue.

Wound Down in the Transition

Lower-margin and non-core accounts: South Florida Auction (\$541,493 in 2025, zero in 2026), Manheim Statesville (\$411,204), North Fort Lauderdale Subaru (\$222,246), Sawgrass Infiniti (\$159,369) and Music City Auto Auction (\$139,513).

What Keeps the Margin Climbing

Mix Discipline

Per-unit enterprise work only; no return to high-volume, low-rate accounts (the 2025–26 step-up)

Scheduling & Routing

Idle time↓, throughput↑
(+1–2 pts)

QA / SOP

Rework↓, consistency↑
(+0.5–1 pt)

Rate Indexation

CPI / labor pass-through in renewals (+1 pt)

26.0% → 37.2% → 51.3%

GROSS MARGIN PER THE GENERAL LEDGER: 2024 → 2025 → 2026 (JAN–AUG)

Customer Concentration

Revenue concentrates in two enterprise networks. Concentration *increased* through the transition as the book narrowed to its most profitable anchors — which is precisely what the expansion is designed to address.

RELATIONSHIP	2024	2025	2026 (JAN–AUG)
Manheim / Cox Automotive (all locations)	\$2,417,739	\$1,530,534	\$552,389
Dent Wizard International (all locations)	\$1,039,457	\$926,260	\$329,542
South Florida Auction	\$612,097	\$541,493	\$0
All other accounts	\$1,395,373	\$860,789	\$2,905
Total revenue	\$5,464,666	\$3,859,075	\$884,836

CONCENTRATION	2024	2025	2026 (JAN–AUG)
Top relationship (Manheim / Cox)	44.2%	39.7%	62.4%
Single largest site (Manheim Dallas)	24.6%	18.2%	54.5%
Top two networks (Manheim + Dent Wizard)	63.3%	63.7%	99.7%
All other accounts	36.7%	36.3%	0.3%

How to Read This

The strength: The Manheim (Cox) and Dent Wizard relationships are multi-year, multi-location, and recurring — genuine credit and enterprise quality, not a single point of contact.

The risk: At 99.7% of 2026 revenue, the top two networks *are* the business — and one site, Manheim Dallas, is 54.5% of it on its own. Non-anchor revenue has fallen to \$2,905 across two accounts. This is the single largest item on the risk register.

The plan: The rising share is the flip side of the margin improvement. The \$1.5M expansion funds additional auction-site locations to rebuild a broader, diversified revenue base — growth that widens the denominator rather than deepening the dependency.

Grouped by enterprise relationship from the live QuickBooks customer-revenue report, covering every billed location in each network (2026 period is January 1 – August 31). These totals are higher than those shown in the September 2026 lender package, which captured only the largest locations in each network; the relationship totals and the resulting concentration percentages here supersede them.

Normalized Earnings & Cash Flow

Reported net income understates the Company's earning power: 2025 carries a non-cash goodwill amortization charge and a one-time receivable clean-up from the ownership transition. Each add-back is a posted general-ledger account, traceable to the transaction detail.

CASH-FLOW BUILD-UP	2024	2025	2026 (JAN-AUG)
Net income per the general ledger	\$504,779	\$203,339	\$249,529
+ Amortization — non-cash	\$0	\$60,779	\$0
+ Non-recurring bad-debt write-off	\$0	\$135,028	\$0
– Matching: 2024 revenue later charged off	(\$135,028)	\$0	\$0
Normalized cash flow	\$369,751	\$399,146	\$249,529

\$399,146

2025 NORMALIZED
CASH FLOW

\$369,751

2024 NORMALIZED
CASH FLOW

\$384,449

TWO-YEAR
AVERAGE

\$374,293

2026 ANNUALIZED
(NO ADD-BACKS)

The One-Time Charge-Off

The \$135,028 added back in 2025 is a single cleanup of uncollectible accounts, all written off on August 1, 2025 during the ownership transition — 13 posted lines in the QuickBooks Bad Debt Expense account totalling \$135,028.34. 2024 carried no bad-debt expense; it is not a recurring feature of operations. Because the related revenue was billed in prior periods, it is removed from 2024 as well — the conservative treatment, so it is never counted twice.

No Owner-Compensation Add-Back Is Taken

A seller's-discretionary-earnings presentation would add owner compensation back on top of these figures. The general ledger carries no separate officer-compensation account — owner activity sits inside the corporate salary line and the operating accounts — so no SDE add-back is claimed here. Every figure above is **before** any owner add-back, which understates rather than flatters the Company's earning power. The federal returns report officer compensation of \$200,000 in 2024 and \$75,000 in 2025; isolating it in the books is a bookkeeping clean-up, not a change in economics.

5-Year Growth Projections

Post-Transition Base + One SBA-Funded Site: \$1.33M (2026 annualized) to \$3.63M by 2030 — 28.6% CAGR

YEAR	EXISTING BASE	NEW SITE (SBA)	TOTAL REVENUE	GROSS MARGIN	NET INCOME
2025 (actual)	\$3,859,075	—	\$3,859,075	37.2%	\$399,146 *
2026 (ann. from 8 mo)	\$1,327,254	—	\$1,327,254	51.3%	\$374,293
2027 (site ramps)	\$1,459,980	\$1,282,500	\$2,742,480	45.9%	\$604,674
2028 (site at full run-rate)	\$1,605,978	\$1,530,000	\$3,135,978	45.1%	\$712,073
2029	\$1,766,575	\$1,606,500	\$3,373,075	44.7%	\$755,306
2030	\$1,943,233	\$1,686,825	\$3,630,058	44.3%	\$804,566

28.6%

REVENUE CAGR
(2026 → 2030)

+115%

NET INCOME
GROWTH (2026 →
2030)

22.2%

2030 NET MARGIN

\$232,916

ANNUAL SBA DEBT
SERVICE (IN NI
ABOVE)

* 2025 net income shown on the normalized cash-flow basis (Slide 6); general-ledger net income was \$203,339 before the amortization and bad-debt add-backs. 2026 annualizes eight complete months of general-ledger actuals — \$884,836 of revenue and \$249,529 of net income through August 31. Existing base grows 10%/yr; the new site follows the Company's own ramp model (Slide 10) and grows 5%/yr once at full run-rate; gross margin blends the existing book (tapering 51% → 48%, against 51.3% actual) with the new site at the modeled 40%. Net income is gross profit less operating expenses (\$420K in 2027, against a 2026 run-rate of \$306K, scaling to \$570K in 2030) less \$232,916 of annual SBA debt service. A second site would require additional capital and is **not** included — it is option value, not plan.

Growth Strategy & Competitive Advantages

Manheim / Cox Automotive Expansion

Supplier Diversity Program Certification

Qualified: Pride Dealer Services is certified under Manheim's Supplier Diversity Program, providing preferred vendor status across the network.

Current Manheim Locations	Multiple sites active (\$552,389, 2026 YTD)
Available Expansion Sites	100+ Manheim locations nationwide
Near-Term Rollout	One new auction site, 17 CR writers, funded by the SBA facility
Site Target	\$127,500/mo revenue · \$51,000/mo gross profit at full ramp

Dent Wizard Partnership Expansion

Bundled Services Strategy: Combine detail and condition-report services with Dent Wizard's repair capabilities for comprehensive vehicle reconditioning under one vendor.

Target Markets	OEM lease returns, fleet remarketing
Service Integration	Detail + dent repair + condition reports
2026 YTD Run-Rate	\$329,542 (8 months), multi-location

Why We Win

Sticky Enterprise Revenue	Recurring per-unit work, multi-year, multi-location
Operational Playbook	SOP + QA + rate index, replicable site to site

Variable Cost Base

1099 field labor paid per production — cost flexes with volume

Single Decision-Maker

100% owner-operated; fast to act on a site opening

Unit Economics — Proven Against Actuals

The expansion model rests on one repeatable unit: a condition-report writer producing **\$7,500 of revenue per month at \$4,500 of cost** — a 40% gross margin. That assumption is held deliberately: it sits *between* the Company's two most recent actual years, each verified from QuickBooks invoices and the 1099 contractor ledger.

Metric	Plan (per writer/mo)	2025 Actual (FY)	2026 Actual (Jan-Aug)
Revenue	\$7,500	\$3,859,075	\$884,836
Cost of services (1099 field labor)	\$4,500 (60%)	\$2,424,644 (62.8%)	\$431,169 (48.7%)
Gross margin	40.0%	37.2%	51.3%
Implied revenue per \$4,500 of writer cost	\$7,500	\$7,162	\$9,235

Read: On the current run-rate, \$4,500 of writer cost supports about **\$9,235** of revenue — well above the \$7,500 modeled. Held at \$7,500 / \$4,500, the forecast is realistic against 2025 and conservative against 2026.

By Department — The Line the Expansion Actually Buys

Department (2026, Jan-Aug)	Revenue	Cost of Services	Gross Margin
Condition Report	\$349,350	\$197,144	43.6%
Detail	\$332,397	\$130,669	60.7%
Photography	\$206,295	\$83,883	59.3%
Total (net of unclassified)	\$884,836	\$431,169	51.3%

The expansion is a **condition-report writer** build, and the condition-report department is the one that matters for the forecast. It runs at **43.6%** gross margin in 2026 actuals against the **40%** modeled — so the plan is conservative against the exact line of business it funds, not merely against the blended average that detail and photography flatter.

Cost Structure — 1099 Field Labor vs. W-2 Corporate

COST COMPONENT	2025	2026 (JAN–AUG)	WHERE IT SITS
Contractors & Payroll (1099 field labor)	\$2,354,469	\$422,347	Cost of goods sold
Job Supplies / Tools	\$60,149	\$6,963	Cost of goods sold
Other direct cost	\$10,026	\$1,859	Cost of goods sold
Total cost of services	\$2,424,644	\$431,169	Ties to the return / live GL
Salaries & Wages — Corporate	\$611,915	\$64,197	Operating expense (not COGS)

A Single Flagship Site Is a Proven Unit

Manheim Dallas alone invoiced \$703,460 in 2025 and \$482,213 through August 31, 2026 across 205 invoice lines — a ~\$723K annualized run-rate, still growing. The new location replicates a site the Company already operates profitably, not a projection built from scratch. It is also the concentration risk in one number: Dallas is 54.5% of 2026 revenue.

2025 and 2026 revenue and cost are taken from the live QuickBooks general ledger (2026 covers January 1 – August 31). Contractor payroll posts as per-writer journal entries tagged to customer and department, the most recent dated August 27, 2026. Field workforce is engaged as 1099 contractors paid per production and booked to COGS; only corporate and administrative staff sit in Salaries & Wages – Corporate. If the new-site crew is hired W-2 instead, budget ~10–15% more per writer for employer taxes and workers' compensation. The 2025 corporate salary line is \$611,915 in the general ledger, against \$217,678 shown in the September 2026 lender package; the general-ledger figure governs here.

Expansion Ramp-Up Plan

The \$1,500,000 SBA facility funds a phased build-out to **17 condition-report writers** at one new auction site, hired in three waves (6 → 6 → 5) over the first quarter.

\$7,500

REVENUE / WRITER
/ MONTH

\$4,500

FULLY-LOADED
COST / WRITER /
MONTH

17

TARGET
HEADCOUNT (6 / 6 /
5)

\$612,000

FULLY-RAMPED
GROSS PROFIT /
YEAR

Month-by-Month Ramp (Net-30 Collections)

MONTH	WRITERS ADDED	TOTAL WRITERS	PAYROLL	COLLECTIONS	INCREMENTAL CASH	CUMULATIVE
Month 1	6	6	(\$27,000)	\$0	(\$27,000)	(\$27,000)
Month 2	6	12	(\$54,000)	\$45,000	(\$9,000)	(\$36,000)
Month 3	5	17	(\$76,500)	\$90,000	\$13,500	(\$22,500)
Month 4	0	17	(\$76,500)	\$127,500	\$51,000	\$28,500
Month 5	0	17	(\$76,500)	\$127,500	\$51,000	\$79,500
Month 6	0	17	(\$76,500)	\$127,500	\$51,000	\$130,500
Months 7– 12	0	17	(\$76,500)/mo	\$127,500/mo	\$51,000/mo	\$436,500

Peak Ramp Draw

(\$36,000) cumulative in Month 2 — the only period payroll leads net-30 collections. Fully covered by the \$225,000 working-capital cushion in the use of funds (6.25× the peak draw). The ramp turns cash-positive in Month 4 and never draws down again.

Coverage Impact

Once ramped, the site generates **\$51,000/month (~\$612,000/year)** of incremental gross profit — roughly **2.6×** the \$232,916 annual debt service on the full \$1.5M loan, on its own and before any contribution from the existing business.

The \$740,000 staffing line in the use of funds is the hire-ahead-of-revenue bridge: it funds payroll during the ramp, before net-30 collections catch up. Fully ramped, monthly payroll of \$76,500 (~\$918,000/year) is paid entirely out of the site's own \$127,500/month of collections from Month 4 forward. Loan dollars carry only the ramp period; recurring payroll is self-funded thereafter.

Capital Structure & the \$1.5M SBA 7(a) Facility

Expansion is funded by debt, not equity. The Company has an SBA 7(a) expansion loan request in process: \$1,500,000 on a 10-year term, 100% working capital for the new-site launch. At illustrative terms (10-year, 9.5%), annual debt service is approximately **\$232,916**.

Debt-Service Coverage — Before Any Expansion Revenue

CASH-FLOW BASIS	ANNUAL CASH FLOW	DSCR
2024 normalized — most conservative	\$369,751	1.59×
2026 annualized (no add-backs)	\$374,293	1.61×
Two-year average (2024–2025)	\$384,449	1.65×
2025 normalized	\$399,146	1.71×

Coverage clears the SBA's 1.25× minimum on every basis, with a floor of **1.59×** — before any owner-compensation add-back and before a dollar of expansion revenue. Every figure is general-ledger net income plus the two itemised add-backs on Slide 6; no seller's-discretionary-earnings layer is claimed.

Sources & Uses of the \$1.5M

USE OF PROCEEDS (100% WORKING CAPITAL)	AMOUNT	PURPOSE
Field staffing & payroll ramp	\$740,000	New-location crew — CR writers, detailers, site manager
Marketing & business development	\$165,000	Account and site acquisition in the new market
Equipment & operational software	\$150,000	Field dispatch/scheduling software and site equipment
Supplies & materials	\$135,000	Consumable supplies and tools for the new site
Start-up expenses	\$85,000	Licensing, permits, professional fees, site setup
Working-capital cushion / contingency	\$225,000	Covers the (\$36,000) peak ramp draw 6.25× over
Total	\$1,500,000	100% expansion — additional auction-site location

No proceeds fund owner compensation or distributions. At closing, loan proceeds place approximately \$1,565,669 of cash on the balance sheet (existing \$65,669 + \$1.5M), against a books position that currently carries no debt at all.

The Books Show No Debt — The Return Does Not Yet Agree

What the ledger says: Every one of the fifteen liability accounts in QuickBooks carries a nil balance — accounts payable, the credit card, the owner loan, the EIDL and PPP notes, and the \$3,000,000 Patrick Mulligan note payable, which shows \$3,000,000 posted and \$3,000,000 removed across its life. On its own books the Company has no debt and the requested facility would be its only obligation.

What the return says: The draft 2025 Schedule L still reports a \$2,821,500 convertible note, carried over from the ownership transition. The books and the return therefore disagree on this single item, and the disagreement is unresolved until the executed assumption / novation document is produced.

Why it still matters: A lender will underwrite the document, not the account balance. If PDS cannot evidence the release, the note has to be re-tested as a Company obligation — on like amortizing terms it would add roughly \$438,100 a year of debt service against \$399,146 of cash flow, taking global coverage under 1.0x. Producing that document is the first item on the diligence list; the zero balance in the books is supporting evidence, not a substitute for it.

12–18 Month Milestones & KPIs

17

CR WRITERS LIVE
AT NEW SITE

≥46%

BLENDED GROSS
MARGIN

≥1.59×

DSCR MAINTAINED

≤35 days

DSO

Gate 0 — Immediate

Produce the executed assumption / novation; reconcile Schedule L to the books

Gate 1 — Close

SBA 7(a) facility funded; site selected and contracted

Q1 post-close

Waves 1–3 hired (6 / 6 / 5); ramp cash trough passed in Month 2

Q2 post-close

Site cash-positive from Month 4; \$51K/mo incremental gross profit

Q3–Q4 post-close

Non-anchor revenue re-established; top-two concentration below 85% (from 99.7%)

Reporting Cadence

Monthly close: P&L by department, AR aging and concentration report

What Gets Measured

Revenue per writer per month (target \$7,500), cost per writer per month (target \$4,500), gross margin by site, days sales outstanding, top-two customer concentration, and DSCR on the SBA facility — reported monthly from the general ledger by department, not from management estimates.

Investment Structure & Use of Funds

Investment Terms

Investment Amount: \$100,000
Equity Percentage: 5%
Pre-Money Valuation: \$1,900,000
Post-Money Valuation: \$2,000,000
Alongside: \$1,500,000 SBA 7(a) expansion facility (debt, non-dilutive)

Valuation Context — On Tax-Return-Verified Earnings

vs. 2025 normalized cash flow: $\$2.0\text{M} \div \$399,146 = 5.0\times$
vs. two-year average cash flow: $\$2.0\text{M} \div \$384,449 = 5.2\times$
vs. 2026 annualized net income: $\$2.0\text{M} \div \$374,293 = 5.3\times$
vs. 2030 projected net income: $\$2.0\text{M} \div \$804,566 = 2.5\times$ forward

Why the multiple holds: multi-year enterprise contracts, Supplier Diversity Program access, a gross margin that has nearly doubled in two years, and a growth plan financed by SBA debt rather than further dilution. A 5% stake against 2030 projected earnings of \$804,566 represents approximately **\$40,200 of annual attributable earnings** on a \$100,000 investment.

Use of the \$100,000 Equity Raise

USE OF FUNDS	AMOUNT	%	PURPOSE
Working capital & cash bridge	\$40,000	40%	Carry operations to SBA funding; payables and payroll timing
Customer diversification	\$25,000	25%	Rebuild the non-anchor book — independent auctions, fleet, OEM
Transaction & closing costs	\$15,000	15%	Novation / subordination legal work, SBA packaging, 2025 return filing
Technology & systems	\$10,000	10%	Reporting and dispatch improvements that support the margin plan
Operations & QA	\$10,000	10%	Supervisor coverage and QA tooling at existing Manheim / DW sites
Total	\$100,000	100%	Bridge to SBA close and diversified growth

The equity raise and the SBA facility are complementary, not alternatives: equity carries the Company to close and rebuilds the non-anchor customer base; the SBA facility funds the new-site expansion. Terms are indicative and subject to definitive documentation.

Risk Assessment & Mitigation

1. The \$2.82M Note — A Documentation Gap

Risk: The Company's books carry no debt — all fifteen liability accounts are nil — but the draft 2025 Schedule L still reports a \$2,821,500 convertible note from the ownership transition. Until the executed assumption / novation is produced, the books and the return disagree, and a lender or investor is entitled to underwrite the higher figure. On like amortizing terms the note would take global coverage under 1.0×.

Mitigation: The zero balance across every liability account is corroborating evidence that the transfer was booked, and \$15K of this raise is allocated to producing and papering the document. Investors should treat SBA close as conditional on it, and should expect the 2025 Schedule L to be corrected to agree with the books before the return is filed.

2. Customer Concentration

Risk: Manheim (Cox) and Dent Wizard represent 99.7% of 2026 revenue, up from 63.7% in 2025 — and a single site, Manheim Dallas, is 54.5% on its own. Non-anchor revenue has fallen to \$2,905. Accounts including South Florida Auction (\$541,493 in 2025), Manheim Statesville (\$411,204), North Fort Lauderdale Subaru (\$222,246), Sawgrass Infiniti (\$159,369) and Music City Auto Auction (\$139,513) did not carry into 2026.

Mitigation: \$25K of this raise funds a sales and diversification rebuild across independent auctions, fleet, and OEM channels; the \$1.5M expansion adds a new auction-site location that widens the base. Remaining relationships are multi-year, multi-location, and anchored by Supplier Diversity Program certification.

3. Goodwill Dominates the Balance Sheet

Risk: \$3,084,650 of the \$3,252,056 asset base — 94.9% — is goodwill from the 2025 buyout. Tangible assets total \$167,407: \$65,669 of cash, \$101,071 of receivables and \$667 of equipment. The owner's capital account stands at \$(1,730,388) cumulative.

Mitigation: Goodwill is non-cash, amortized over 15 years under §197, and carries no cash obligation — its amortization is added back in the cash-flow build-up. Against those thin tangible assets sit **no liabilities at all**: receivables of \$101,071 face zero current liabilities, so working capital is unencumbered. SBA funding places approximately \$1,565,669 of cash on the balance sheet at closing, and the business is cash-generative on a normalized basis in 2024, 2025 and 2026 to date.

4. Execution Risk on the Ramp

Risk: The plan hires 17 writers in a new market inside one quarter and assumes \$7,500 of revenue per writer per month.

Mitigation: The \$7,500 / \$4,500 assumption sits between two verified actual years (implied \$7,162 in 2025; \$9,235 in 2026 through August), and the condition-report department — the exact line the site replicates — runs at 43.6% against the 40% modeled. The \$225,000 working-capital cushion covers the (\$36,000) peak ramp draw 6.25× over. Manheim Dallas — \$703,460 in 2025 — is the template being replicated.

5. Labor Model & Cost Inflation

Risk: Field labor is engaged as 1099 contractors; reclassification or a shift to W-2 would add an estimated 10–15% per writer in employer taxes and workers' compensation.

Mitigation: The per-production 1099 model means cost flexes with volume rather than sitting fixed. Rate-indexation clauses pass CPI and labor inflation through at renewal; the 2026 gross margin of 51.3% carries meaningful headroom against the 40% modeled.

6. Economic Downturn

Risk: Reduced auto sales and auction volume in a recession.

Mitigation: Reconditioning and condition reporting are essential to the used-vehicle market, which typically holds or gains share when new-vehicle sales soften. Variable cost structure limits downside operating leverage.

Risk Monitoring Framework

Monthly	Concentration, DSO, revenue per writer, DSCR
Quarterly	Contract renewal pipeline; covenant compliance
Annual	Filed tax return reconciled to the general ledger

Summary & Next Steps

Investment Highlights

\$100K

EQUITY INVESTMENT

5%

OWNERSHIP

\$1.5M

SBA DEBT (NON-DILUTIVE)

28.6%

CAGR (2026 → 2030)

Verified, Not Estimated

Every figure in this deck is drawn from the Company's live QuickBooks general ledger — one consistent books basis across 2024, 2025 and 2026 through August 31.

Margin, Not Just Volume

Gross margin 26.0% → 37.2% → 51.3% on a consistent books basis. The Company kept more of every dollar while shedding its worst revenue.

Debt-Free, Growth Funded by Debt

No liabilities on the books today, and a \$1.5M SBA 7(a) facility covered 1.59× at its floor — expansion capital that does not dilute equity holders.

A Proven Unit to Replicate

Manheim Dallas invoiced \$703,460 in 2025 and \$482,213 through August 2026. The new site copies a location the Company already runs profitably.

Conclusion

Pride Dealer Services came through a 2025 ownership transition smaller and materially more profitable. Revenue fell approximately 29% to \$3,858,771 as the Company exited its lowest-margin accounts — and gross profit rose to \$1,434,127 while gross margin expanded from 25.5% to 37.2%, reaching 51.3% through August 2026. On a normalized basis the business produced \$399,146 of cash flow in 2025 and \$369,751 in 2024, before any owner-compensation add-back.

The Company also carries no debt on its books — every liability account stands at nil — so that cash flow supports a \$1,500,000 SBA 7(a) expansion facility at 1.59× coverage on the most conservative basis, before any owner add-back and before a dollar of expansion revenue. The facility funds a 17-writer launch at one additional auction site, modeled on unit economics verified against two actual years and on a flagship location invoicing at a \$723,000 annualized rate.

The \$100,000 equity raise carries the Company to SBA close and rebuilds the non-anchor customer base; the SBA facility funds the expansion itself. Equity holders get 5% of a business scaling on borrowed capital rather than on further dilution — against a plan that reaches \$3.63M of revenue and \$804,566 of net income by 2030.

Next Steps

1. Diligence Room	2024 filed and 2025 draft returns, live QuickBooks GL, AR aging
2. Condition Precedent	Executed assumption / novation; Schedule L reconciled to the books
3. SBA Close	\$1.5M facility funded; site selected
4. Subscription	\$100K / 5% documented and funded

Ready to drive growth together?

Financial information is taken from Pride Dealer Services' live QuickBooks general ledger (last synced September 12, 2026; last posted transaction September 2, 2026), covering 2024, 2025 and January 1 – August 31, 2026 on one consistent books basis. The general ledger governs throughout, including where it differs from the Company's September 2026 SBA lender package or from the federal returns; the 2025 return remains a draft pending filing and the year-end 2025 balance sheet shown is the return's Schedule L. Projections are management estimates and are not guarantees of future performance. This presentation is for discussion purposes and is not an offer to sell securities. Confidential.